Ch. 5 Currency Derivatives

-> Forwards
-> Futures
-> Options

Forwards / Futures: very similar. Forwards are customizable, Futures are standardized

Derivatives are financial products whose value is DERIVED from the value of another asset called the underlying

-> underlying: currency. EUR, GBP, JPY
-> derivative: forward contract specifying price of currency bought or sold in the future

Example:

Today you enter into forward contract to buy €100,000 at $1.10/€ in 3 months.

$S_0 = \$1.11/€$

Today: you negotiate terms and sign contracts. No to minimal security deposit (deposit amount dependent on company history)

3 months: you have to buy €100,000 at $1.10/€

$S_3 = \$1.12/€$ or $S_3 = \$1.08/€$

Forward Rate: $F = \$1.10/€$

rate at which you will purchase in the future

Spot Rate: exchange rate at a given point in time.

⇒ Companies use derivatives contract

→ hedge exchange rate risk

→ speculation - benefiting from projected

changes in exchange rates.

-> if you think currency will go up, you can lock into price today to exchange in the future (buy at lower rate)

-> if you think currency value will go down, you can enter to sell forward contract in the future at a rate

specified today.

Futures and forwards trade at premium or discount

$$F = S_0 \cdot (1+p)$$

$$p = \frac{F}{S_0} - 1$$